January 2014 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Definition of private sector

Define the term 'private sector'. (2 marks)

The private sector is the part of the economy made up of businesses that are owned, financed and controlled by private individuals or groups rather than by the government, and which are operated mainly to earn a profit for their owners.

1(a)(ii) Public sector vs private sector business

Outline TWO ways in which a public sector business is different from a private sector business. (4 marks)

Ownership and control

A public sector business is owned and controlled by the government on behalf of all citizens, while a private sector business is owned and controlled by private individuals or shareholders. This means that decisions in a public sector business are made by ministers and appointed boards, but in a private business they are made by the owners or directors.

Main aim of the business

The main aim of a public sector business is to provide an essential service to the public, such as water, electricity or health care, even if very little profit is made. A private sector business, on the other hand, is run mainly to earn a profit for its owners.

1(b)(i) Characteristics of a co-operative

Describe TWO characteristics of a co-operative. (4 marks)

Owned and run by its members

A co-operative is owned and controlled by its members, who join together because they share a common need or interest, such as farming, saving or buying goods. The members buy shares in the co-operative and elect a committee from among themselves to run the business on their behalf.

One member, one vote

Each member of a co-operative has only one vote at meetings, no matter how many shares he or she owns. This means that no single member can control the co-operative, and any surplus that is made is shared among the members in proportion to how much they used the services of the co-operative.

1(b)(ii) Co-operative vs company

State ONE way in which a co-operative is different from a company. (2 marks)

A co-operative gives each member only one vote at meetings, no matter how many shares the member owns, while in a company the number of votes a shareholder has depends on the number of shares held, so larger shareholders have more control.

1(b)(iii) Other types of private sector businesses

List TWO types of private sector businesses, other than companies and co-operatives. (2 marks)

- Sole trader (one-person business).
- Partnership.

1(c) Effects of nationalising a private company

Discuss TWO ways in which a private company is LIKELY to change if it were to be nationalized. (6 marks)

Change in ownership and main aim

Once the company is nationalised, ownership passes from the private shareholders to the government, and the main aim of the business changes. Instead of focusing on earning a profit for shareholders, the business now has to focus on providing a good or service to the public at a fair price. As a result, prices may be lowered, services may be extended to areas that were not profitable before, and decisions are made with the public interest in mind.

Change in management and source of finance

After nationalisation, the company is run by a board appointed by the government rather than by directors chosen by the shareholders. The business no longer raises money by selling shares to the public; instead it is financed mainly by the government from taxes and government loans. This can mean more red tape and slower decision-making, but it also gives the business access to larger amounts of money for expansion and for keeping essential services going.

Question 2

2(a)(i) Insurance vs assurance

Distinguish between EACH of the following pair of terms: (i) 'Insurance' and 'assurance'. (4 marks)

Insurance is taken out against an event that may or may not happen, such as fire, theft or a motor accident. The insurance company only pays out if the event actually occurs, and if nothing happens during the period of cover, the policyholder receives nothing back.

Assurance, on the other hand, is taken out against an event that is certain to happen at some time, such as death. The assurance company will definitely pay out, either when the person dies or when the policy reaches a stated date, so the policyholder or their family is sure to receive the agreed amount.

2(a)(ii) Life insurance vs business insurance

Distinguish between EACH of the following pair of terms: (ii) 'Life insurance' and 'business insurance'. (4 marks)

Life insurance is taken out by an individual on his or her own life, or on the life of someone close, so that an agreed sum of money is paid to the family or named beneficiary when that person dies. It is mainly used to give financial protection to the family and to pay funeral and other expenses.

Business insurance is taken out by a business to protect itself against the risks of running the business, such as fire damage to the premises, theft of stock, motor vehicle accidents, public liability claims and the loss of important workers. The payout from business insurance helps the business to recover from a loss and continue operating.

2(b)(i) How insurance facilitates trade

State TWO ways in which insurance facilitates trade. (2 marks)

- Insurance protects traders from heavy losses caused by events such as fire, theft or accidents at sea, so they are willing to invest their money and goods in trade.
- Insurance allows banks and other lenders to provide credit to traders, because the goods and assets used as security are insured against loss or damage.

2(b)(ii) Importance of documentation

Outline TWO reasons why documentation is important in business transactions. (4 marks)

Provides proof and a permanent record

Documents such as invoices, receipts and contracts give written evidence of what was bought, sold or agreed between the parties. If a disagreement arises later about price, quantity or terms, the documents can be used as proof and even taken to court if necessary.

Helps with accounting and decision-making

Business documents are used to record every transaction in the books of the business. From these records, the owner can prepare financial statements, calculate profit and loss, pay taxes correctly and make informed decisions about pricing, stock and credit.

2(c) Why entrepreneurs should buy insurance

Discuss TWO reasons why entrepreneurs should purchase insurance for their businesses. (6 marks)

Protection against unexpected losses

A business can be wiped out in a few minutes by events such as fire, hurricane, flood, theft or a serious accident. By paying a regular premium, the entrepreneur transfers the risk of these losses to the insurance company. If a disaster happens, the insurance payout helps the entrepreneur to repair or replace damaged property, restock the business and continue trading instead of going out of business altogether.

Confidence to expand and access credit

When a business is properly insured, the entrepreneur can take bigger risks, such as buying expensive equipment or expanding into new markets, knowing that he or she is covered if something goes wrong. Banks are also more willing to lend money to a business that has insurance on its assets, because the loan is more secure. This makes it easier for the entrepreneur to grow the business and to plan for the long term.

Question 3

3(a)(i) Services provided by central banks

List THREE services provided by EACH of the following: (i) Central banks. (3 marks)

- Acts as banker to the government, holding government accounts and helping to manage the national debt.
- Issues the country's currency (notes and coins) and controls the supply of money in the economy.
- Acts as banker to the commercial banks and as lender of last resort, supervising them and holding their reserves.

3(a)(ii) Services provided by commercial banks

List THREE services provided by EACH of the following: (ii) Commercial banks. (3 marks)

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Lending money to individuals and businesses through loans, overdrafts and mortgages.
- Providing payment services such as cheque accounts, debit and credit cards, online banking and foreign exchange.

3(b)(i) Open cheque vs crossed cheque

Distinguish between an 'open cheque' and a 'crossed cheque'. (4 marks)

An open cheque is a cheque that has no two parallel lines drawn across its face. The person named on the cheque (the payee) can take it directly to the bank on which it is drawn and receive the money in cash over the counter.

A crossed cheque, on the other hand, has two parallel lines drawn across its face, often with the words 'A/C Payee Only' written between them. This kind of cheque cannot be cashed at the counter; it must be paid into a bank account in the name of the payee, which makes it much safer if the cheque is lost or stolen.

3(b)(ii) Advantages of each type of cheque

State ONE advantage of EACH of the following types of cheque: a) Open b) Crossed. (2 marks)

(b)(ii)(a) Open cheque

An open cheque can be cashed at the counter of the bank, so the payee can receive the money quickly in cash without having to deposit it into a bank account first.

(b)(ii)(b) Crossed cheque

A crossed cheque is much safer to use, because it must be paid into the bank account of the named payee. If it is lost or stolen, the thief cannot easily cash it, and the true owner can be traced through the bank account.

3(b)(iii) Other financial institutions offering savings

Identify TWO financial institutions, other than banks, which offer saving facilities to consumers. (2 marks)

- Credit unions.
- Building societies (and life insurance companies that offer savings plans).

3(c) Why save in a financial institution

Discuss TWO reasons why it is better to save money in a financial institution rather than at home. (6 marks)

Safety of the money

Money kept at home can easily be lost in a fire, a flood or a hurricane, or stolen by thieves. When money is saved in a financial institution such as a bank or credit union, it is kept in strong vaults and protected by security systems and insurance. Even if the building is damaged, the records of the customer's account are kept safely on computer systems, so the saver does not lose the money.

Earns interest and supports good financial habits

Money saved at home does not grow and may even lose value over time because of inflation. When money is placed in a financial institution, the institution pays interest on the savings, so the amount grows steadily over time. Saving in a bank or credit union also encourages discipline, because the saver is less likely to spend the money on impulse, and a record of regular saving makes it easier to get a loan in the future.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a)(i) Type of production

State the type of production which takes place when a) sugar cane is harvested (1 mark) b) lumber is produced. (1 mark)

(a)(i)(a) Sugar cane is harvested

The harvesting of sugar cane is primary production, because it involves taking a raw material directly from the land in its natural form.

(a)(i)(b) Lumber is produced

The production of lumber is secondary production, because trees that have been cut down are processed and changed into a more useful form (sawn boards and planks) before they are sold.

4(a)(ii) By-products of sugar

List TWO by-products of sugar. (2 marks)

- Molasses, which is used to make rum and animal feed.

- Bagasse, which is the dry fibre left after the juice has been extracted, used as fuel for the factory or as raw material for paper and board.

4(b)(i) Primary vs secondary production

Differentiate between 'primary production' and 'secondary production' and give ONE example of EACH. (6 marks)

Primary production is the stage of production that involves taking raw materials directly from nature. It includes activities such as farming, fishing, forestry, mining and quarrying. The output of primary production is in its natural form and usually has to be processed before final use. An example is the farming of sugar cane in the Caribbean.

Secondary production is the stage of production that takes the raw materials produced by the primary stage and changes them into more useful, finished or semi-finished goods. It includes manufacturing and construction. The output of secondary production has more value than the raw materials it came from. An example is using sugar cane to manufacture refined sugar in a sugar factory.

4(b)(ii) How primary production helps the local economy

Describe TWO ways in which primary production contributes to the local economy. (4 marks)

Provides employment and income

Primary production activities such as farming, fishing and mining hire many local workers, especially in rural areas where there are few other jobs. The wages paid to these workers are spent in shops and other businesses, which spreads the income through the rest of the economy.

Earns foreign exchange and supplies raw materials

Many primary products such as sugar, bananas and bauxite are sold to other countries, bringing in foreign exchange that the country uses to pay for imports. At the same time, primary production supplies raw materials to local factories, supporting secondary industries such as sugar refining, food processing and furniture making.

4(c) Impact of technology on the sugar industry

Discuss TWO ways in which technology impacts the sugar industry in Caribbean countries. (6 marks)

Higher output and lower production costs

Modern machines such as mechanical harvesters, tractors and computer-controlled refining equipment allow far more sugar cane to be cut, transported and processed in a short time. This raises the total output of sugar and lowers the cost of producing each tonne, which helps Caribbean producers to stay competitive on the world market and to earn more foreign exchange.

Loss of jobs and need for retraining

On the other hand, the same machines replace many of the workers who used to cut cane and load trucks by hand. This has caused unemployment in sugar-belt communities and forced governments to spend money to retrain workers for other jobs. The high cost of importing modern machines and spare parts also puts pressure on small Caribbean economies.

Question 5

5(a)(i) Copyright vs patent

Distinguish between the terms 'copyright' and 'patent'. (4 marks)

Copyright is the legal right given to the creator of an original artistic, literary or musical work, such as a book, song, painting, film or computer program. It stops other people from copying, performing or selling the work without the creator's permission and usually lasts for the life of the creator plus a number of years after death.

A patent is the legal right given to the inventor of a new product or process. It stops other people from making, using or selling the invention without the inventor's permission for a fixed number of years (often about twenty), so that the inventor can earn a fair reward for the time and money spent on the invention.

5(a)(ii) Persons protected by copyright

List FOUR categories of persons whose works are protected by copyright laws. (4 marks)

- Authors and writers of books, articles and poems.
- Musicians, songwriters and recording artistes.
- Artists, painters, photographers and sculptors.
- Film makers, software programmers and computer game designers.

5(b)(i) Definition of brand name

Define the term 'brand name'. (2 marks)

A brand name is a special name, word, symbol or design used by a business to identify its product and to set it apart from similar products made by other businesses, for example 'Coca-Cola' or 'Nike'.

5(b)(ii) Brand loyalty

Explain what is meant by 'brand loyalty'. (2 marks)

Brand loyalty is the strong preference that some consumers develop for a particular brand, so that they keep on buying that brand again and again and refuse to switch to other brands, even when the other brands are cheaper or are heavily advertised.

5(b)(iii) How brand names influence consumers

Describe ONE way in which the use of brand names influences consumers. (2 marks)

A well-known brand name gives consumers confidence about the quality of the product, because they remember good experiences with the brand in the past or have seen it advertised. As a result, they will often choose the branded item over an unknown product, even if it costs a little more, because they feel sure that it will work as expected.

5(c) Why consumers buy pirated DVDs

Discuss TWO reasons that might explain why some consumers purchase pirated copies of DVDs. (6 marks)

Much lower price

Pirated DVDs are sold for only a fraction of the price of the original. Many consumers, especially those on low incomes, find it hard to afford the original copies and so they turn to the pirated versions in order to enjoy movies and music at a price they can manage. Because they are getting more entertainment for their money, the temptation to buy pirated copies becomes very strong.

Easy availability and weak enforcement

Pirated DVDs are often easier to find than the originals, since they are sold openly in markets, on the streets and on certain websites. Movies are sometimes available on pirated DVDs even before they are released in the cinemas. The laws against piracy are not always strictly enforced, and consumers do not feel that they will be punished for buying a pirated copy, so they continue to do so.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Definition of pollution

Define the term 'pollution'. (2 marks)

Pollution is the release into the environment of harmful substances or large amounts of waste that damage the air, water or land and make them unsafe or unpleasant for humans, plants and animals.

6(a)(ii) Types of pollution

Identify TWO types of pollution. (2 marks)

- Air pollution (for example, smoke and gases from factories and motor vehicles).
- Water pollution (for example, sewage, oil spills and chemicals in rivers and seas).

6(b) Ways citizens can protect the environment

Outline THREE ways in which citizens of the Caribbean can help to protect the environment. (6 marks)

Reduce, reuse and recycle waste

Citizens can cut down on the amount of garbage they produce by buying only what they need, reusing items such as glass bottles and plastic containers, and taking paper, cans and plastic to recycling centres. This reduces the amount of waste that ends up in landfills and along the roadsides.

Plant trees and avoid bush fires

Citizens can plant and protect trees in their yards, schools and communities and avoid setting bush fires. Trees clean the air, hold the soil together and provide a home for wildlife, so planting them helps to fight pollution and climate change.

Dispose of waste properly and save energy and water

Citizens can put garbage into proper bins, avoid dumping waste in rivers, gullies and on the beach, and report polluters to the authorities. They can also save electricity by switching off lights and appliances when not in use, and save water by fixing leaks, all of which reduce the strain on the environment.

6(c) Major economic problems faced by Caribbean countries

Outline TWO major economic problems faced by Caribbean countries. (4 marks)

High unemployment

Many Caribbean countries have a large number of people, especially young people, who are willing and able to work but cannot find jobs. The economies are small and depend on a few industries such as tourism and agriculture, so when these slow down, many workers are left without income, which leads to poverty and crime.

Balance of payments deficit and heavy debt

Caribbean countries import far more goods and services than they export, so they often have a balance of payments deficit. To cover the gap, governments borrow heavily from foreign lenders, which builds up a large national debt. A big share of government revenue then has to be used to repay loans and interest instead of being spent on schools, hospitals and roads.

6(d) Government measures to solve these problems

Discuss ONE measure which governments can use to solve EACH of the economic problems outlined in (c) above. (6 marks)

(d)(i) Solving unemployment

Encourage investment and offer training programmes

The government can attract local and foreign investors by offering tax holidays, building industrial parks and improving roads, electricity and ports. New factories, hotels and call centres set up by these investors create many jobs. At the same time, the government can run training and apprenticeship programmes through agencies such as HEART/NTA so that workers gain the skills needed by these new industries. As more people become qualified and more businesses are set up, unemployment falls.

(d)(ii) Solving balance of payments and debt problems

Promote exports and reduce non-essential imports

The government can give grants, low-interest loans and marketing support to local farmers, manufacturers and tourism operators so that they can sell more goods and services abroad and earn extra foreign exchange. At the same time, the government can place tariffs and quotas on non-essential imports such as luxury cars and encourage citizens to buy local products. As exports rise and imports fall, the balance of payments deficit narrows and the country has less need to borrow, which slowly reduces the national debt.

Question 7

7(a) Direct vs indirect taxes

Differentiate between 'direct taxes' and 'indirect taxes', and give ONE example of EACH. (4 marks)

A direct tax is a tax that is paid straight to the government by the person or business on whom it is charged, and it is taken from their income or wealth. The burden of a direct tax cannot easily be passed on to anyone else. An example is personal income tax (PAYE) deducted from a worker's salary.

An indirect tax is a tax that is charged on goods and services and is paid to the government by the seller, but the burden is passed on to the consumer in the form of higher prices. An example is Value Added Tax (VAT) or General Consumption Tax (GCT) added to the price of items in a shop.

7(b) Strategies to encourage tax payment

Describe THREE strategies which governments can use to encourage citizens to pay their taxes. (6 marks)

Public education campaigns

The government can run advertisements on television, radio and social media that explain why taxes are important and show how the money is used to build schools, hospitals and roads. When citizens understand that paying taxes benefits them and their communities, they are more willing to pay willingly and on time.

Make it easy and offer incentives

The government can set up online filing systems, mobile tax offices and PAYE schemes that take the tax straight from the worker's pay. It can also give early-payment discounts, waive interest on outstanding taxes during a tax amnesty and reward consistent taxpayers with certificates of compliance. When paying tax is simple and even rewarded, more citizens comply.

Strict enforcement and penalties

The government can use the tax department to inspect business records, match information from banks and customs and follow up on people who fail to file returns. Heavy fines, interest charges, court cases and even prison sentences for serious tax evaders send a clear message that those who do not pay will be caught and punished, which encourages others to pay.

7(c) Taxpayer reactions to high taxes

State TWO ways in which tax payers are LIKELY to react to high level of taxation. (4 marks)

- They may try to avoid tax legally by using loopholes (such as claiming many allowances), or evade tax illegally by under-declaring their income, working 'off the books' or smuggling goods to escape duties.
- They may work less, save less and reduce their spending, since their take-home pay is smaller, and some skilled workers and businesses may move to countries where taxes are lower.

7(d) Purposes of taxation

Discuss TWO purposes of taxation. (6 marks)

To raise revenue for government spending

The main purpose of taxation is to raise the money the government needs to provide public goods and services such as security, education, health care, roads and street lighting. Without a steady flow of tax

revenue, the government would not be able to pay teachers, nurses, the police and the army, and important services would collapse. Taxes therefore allow the government to carry out its day-to-day duties and to invest in the long-term development of the country.

To redistribute income and influence the economy

Taxation is also used as a tool to make society fairer and to control the economy. Through progressive income tax, richer citizens pay a larger share of their income in tax, and the money is used to fund welfare, school feeding and other programmes that help poorer citizens. The government can also raise taxes on harmful goods such as cigarettes and alcohol to discourage their use, and it can lower taxes on essential items or local industries to encourage spending and growth when the economy is slow.